



CONCRETE AGGREGATES CORPORATION

7 November 2025

THE PHILIPPINE STOCK EXCHANGE, INC.

9th Floor, PSE Tower
28th Street corner 5th Avenue
Bonifacio Global City, Taguig

Attention: **Atty. Johanne Daniel M. Negre**
Officer-in-Charge, Disclosure Department

Gentlemen:

In compliance with the Disclosure Rules of the Philippine Stock Exchange, we are submitting a copy of Concrete Aggregates Corp.'s Quarterly Report (SEC Form 17-Q) for the third quarter of 2025.

Thank you and best regards.

Very truly yours,

Jose Antonio V. Evangelista III
Corporate Information Officer



SECURITIES AND EXCHANGE COMMISSION

Secretariat Building, PICC Complex, Roxas Boulevard, Pasay City, 1307 Metro Manila Philippines

Tel: (632) 818-0921 Fax: (632) 818-5293 Email: mis@sec.gov.ph



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Company Information

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PSE Security Code _____
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CONCRETE AGGREGATES CORP.

(Company's Full Name)

**7TH FLOOR, WEST WING, ESTANCIA OFFICES, CAPITOL COMMONS,
MERALCO AVENUE, PASIG CITY**

(Company's Address)

(02) 8631-1231 / Fax no.: (02) 8631-6517

(Company's Telephone Number)

SEPTEMBER 30

(Fiscal Year Ending)
(Month & Day)

SEC FORM 17-Q: Quarterly Report

(FORM TYPE)

(Amendment Designation if Applicable)

30 September 2025

Period Ended Date

Permit to Offer Securities for Sale

(Secondary License Type, if any)

**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q**

**QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER**

1. For the quarterly period ended **30 September 2025**
2. SEC Identification Number **36140** 3. BIR Tax Identification No. **000-201-881**
4. Exact name of registrant as specified in its charter **CONCRETE AGGREGATES CORP.**
5. **Philippines** 6. (SEC Use Only)
Province, Country or other jurisdiction of Industry Classification Code;
Incorporation or organization
7. Address of principal office: **7th Floor, West Wing, Estancia Offices, Capitol Commons, Meralco
Avenue, Pasig City**
Postal code: **1600**
8. Issuer's telephone number: **(02) 8631-1231**
Fax number: **(02) 8631-6517**
9. Former name, former address and formal fiscal year, if changed since last report:
Not applicable

10. Securities registered pursuant to Sections 8 and 12 of the Code or Sections 4 and 8 of the RSA

<u>Title of Each Class</u>	<u>Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding (as of 30 September 2025)</u>
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Common Shares	27,466,449
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Amount of consolidated liability outstanding as of 30 September 2025: **₱43,860,736**

11. Are any or all of these securities listed on the Philippine Stock Exchange?

Yes (x) No () **Classes Common "A" and Common "B"**

12. Check whether the registrant:

- (a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or Section 11 of the RSA and RSA Rule 11(a) – 1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding 12 months (or for such shorter period that the registrant was required to file such reports);

Yes (x) No ()

- (b) has been subject to such filing requirements for the past 90 days.

Yes (x) No ()

FINANCIAL INFORMATION

Item 1. Financial Statements

- Unaudited Consolidated Statements of Financial Position as of 30 September 2025 and Audited Consolidated Statements of Financial Position as of 31 December 2024
- Unaudited Consolidated Statements of Income for the period ended 30 September 2025 and 2024
- Unaudited Consolidated Statements of Changes in Stockholder's Equity as of 30 September 2025 and 2024
- Unaudited Consolidated Statements of Cash Flows for the period ended 30 September 2025 and 2024
- Aging of Accounts Receivables as of September 30, 2025.
- Notes to Interim Financial Statements

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Concrete Aggregates Corporation ("CAC" or the "Company") underwent changes in 2008 which had a significant impact on its operations and, consequently, its financial condition. The most significant of these changes was the selection and appointment of a third party as the operator of the Company's quarry in Angono, Rizal. On 18 June 2007, the Board of Directors of CAC authorized the conduct of a bid to select an operator of its Angono quarry for a period of fifteen (15) years. Three companies qualified to participate in the bidding of which two submitted formal bids on 16 November 2007. On 29 November 2007, the Company's Board of Directors declared that the consortium of Republic Cement Corporation and Lafarge Holdings (Philippines), Inc. (the "Consortium") won the bid for the right to operate the Company's Angono quarry.

The declaration that the Consortium was the winning bidder was affirmed by the Company's stockholders during a special meeting held on 18 January 2008, including the execution of all agreements necessary to implement the foregoing. After securing stockholders' approval, the Company and the Consortium entered into an Agreement on 18 January 2008, setting forth the actions to be taken by each party as well as the agreements to be executed by them in order to carry out their intentions.

Complying with its obligations under the 18 January 2008 Agreement, the Company incorporated Batong Angono Aggregates Corp. (BAAC). Thereafter, the Company and BAAC entered into an Operating Agreement on 23 January 2008, which became effective as of 1 June 2008. On 2 June 2008, the parties executed an amendment to include the Second MPSA within the coverage of the Operating Agreement and completed all the specified actions in the 18 January 2008 Agreement including the execution of the Asset Purchase Agreement, Trademark License Agreement and Transition Services Agreement by CAC and BAAC as well as the execution by CAC and the Consortium of a Share Purchase Agreement. With the execution of the Share Purchase Agreement, the Consortium became the owner of 100% of the outstanding capital stock of BAAC.

Pursuant to the foregoing transactions, the Company formally turned over the operation of its Angono quarry to BAAC on 1 June 2008. Under the Operating Agreement, BAAC was granted the right to operate the Angono quarry for fifteen (15) years subject to the conditions indicated in the agreement, CAC's Mineral Production Sharing Agreements (MPSAs) and its Environmental Compliance Certificate (ECC). During the latter part of 2013, BAAC changed its name to Lafarge Republic Aggregates, Inc. (LRAI). In 2015, LRAI once again changed its name to Lafarge Holcim Aggregates, Inc. (LHAI). In 2022, LHAI underwent another change of name to Helix Aggregates Inc. (HAI). An Addendum to the Operating Agreement was executed by and between CAC and HAI to extend the term of the Operating Agreement commencing June 1, 2023 until March 31, 2028.

No exploration targets have been previously declared for the Angono quarry, and no new exploration data were generated during the reporting period. Accordingly, there are no exploration results or updates to disclose for the quarter.

Review of YTD September 2025 vs. YTD September 2024 Results of Operation

The Company generated Net Income of ₱35.05 million, reflecting a 7% increase driven by higher other income and reduced expenses.

Revenue from royalty fees decreased by 2% to ₱50.55 million from ₱51.74 million, mainly due to lower prices in Holcim Philippines Inc. (HPI) sales of basalt aggregates.

Total operating expenses posted at ₱15.73 million, lower by 10% primarily due to one-off land reclassification costs incurred in prior year.

Other income, net, rose by 27% to ₱7.00 million primarily due to higher Interest income from banks on time deposit accounts and dividends received from investments.

Financial Condition September 30, 2025 vs. December 31, 2024

The Company's Balance Sheet remains strong, with high current ratio of 10.25:1. The Company has no significant liquidity or credit risks.

Total Assets amounted to ₱357.54 million, decreased by 2% mainly due to real property tax amortization and lower royalty receivables.

Total Liabilities increased by 6% to ₱43.86 million mainly driven by higher accrued expenses from the current year.

Total Equity stood at ₱313.68 million, reflecting a 3% decrease mainly due to the dividend declaration in March 2025, partially offset by the net income generated during the three quarters of the year.

Book value per share is at ₱11.42 per share as at 30 September 2025 compared to ₱11.78 per share as at 31 December 2024.

- i. Due to the Company's sound financial condition, and the transfer of its quarry operations to HAI, there are no foreseeable trends, events or uncertainties that may have a material impact on its long-term or short-term liquidity.
- ii. There are no events that will trigger any direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation.
- iii. There are no off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period.
- iv. Funding will be sourced from internally generated cash flow.
- v. There are no material commitments for capital expenditure other than those performed in the ordinary course of trade or business.
- vi. At present, the quarry operation is being handled by HAI.
- vii. The causes for any material changes in the unaudited financial statements from the three quarters of 2025 as compared to the three quarters of 2024 and as of year ending 2024 are explained in the Management Discussion and Analysis, as well as in the accompanying Notes to Financial Statements.
- viii. There is no known significant element of income or loss that arises outside of the Company's continuing operations, except as disclosed above and in the attached unaudited financial statements.

ix. Accounts that registered material changes of 5% or more and the causes thereof are as follows:

Accounts	Unaudited as of 30 September 2025	Unaudited as of 30 September 2024	Increase (Decrease)	Remarks
Operating Expenses	15,726,050	17,539,392	(1,813,342)	Down by 10% primarily due to one-off land reclassification costs incurred in prior year.
Other Income	7,004,595	5,528,036	1,476,559	Up by 27% due to higher interest rates from time deposit accounts and dividend collection.

Accounts	Unaudited as of 30 September 2025	Audited as of 31 December 2024	Increase (Decrease)	Remarks
Receivables, net	19,998,106	29,494,600	(9,496,494)	Decreased by 32% primarily as a result of higher royalty fee collections.
Prepaid expenses	1,899,609	6,620,781	(4,721,172)	Lower by 71% caused by amortization of 2025 real property tax.
Trade and other payables	10,121,802	8,184,818	1,936,984	Increased by 24% due to higher accrued expenses in 2025.
Income tax payable	1,522,400	1,337,900	184,500	Increased by 14% due to lower tax credits deductible from tax due (2024 full year vs. 2025 three quarters)
Retirement Liability	850,365	732,002	118,363	Up by 16% due to the additional accrual of retirement expense in 2025.
Retained earnings	36,027,893	45,976,316	(9,948,423)	Decreased by 22% mainly due to dividends declared in March 2025, partially offset by net income earned for the three quarters.

Schedule of Financial Soundness Indicators

The Company has identified the following financial soundness indicators affecting its operation:

Ratio	Formula	Unaudited as of 30 September 2025	Audited as of 31 December 2024
Current ratio	Total Current Assets / Total Current Liabilities	10.25:1	12.06:1
Acid test ratio	Quick assets (Total Current Assets less Inventories and Other Current Assets) / Total Current Liabilities	10.15:1	11.67:1
Solvency ratio	Net Income before Depreciation and Amortization / Total Liabilities	0.80:1	1.09:1
Liability-to-equity ratio*	Total Liability / Shareholders' Equity	0.14:1	0.13:1
Asset-to-equity ratio	Total Assets / Shareholders' Equity	1.14:1	1.13:1
Interest rate coverage ratio*	Earnings Before Interest expense, Income Tax, Depreciation and Amortization / Interest Expense	-	-
Return on equity**	Annualized Net Income Available to Common Shareholders / Shareholders' Equity	14.67%	14.25%
Return on assets**	Annualized Net Income Available to Common Shareholders / Total Assets	12.94%	12.49%
Net profit margin**	Net Income Available to Common Shareholders / Revenues	69.35%	67.67%
Book value per share	Shareholders' Equity / Weighted Average Outstanding Number of Common Shares	11.42	11.78

*Liability to equity – The company has no interest- bearing liabilities from the banks or other lending institutions.

**December 31 ratios are based on actual balances.

SIGNATURE

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereto duly authorized.


Maria Jennifer J. Almojuela
Head of Finance
November 7, 2025 

Concrete Aggregates Corp. and Subsidiaries

Unaudited Consolidated Statements of Financial Position
30 September 2025
(With comparative figures as at 31 December 2024)
(All amounts in Philippine Peso)

	Notes	Unaudited September 2025	Audited December 2024
CURRENT ASSETS			
Cash and cash equivalents	2	175,109,046	168,337,446
Receivables, net	3	19,998,106	29,494,600
Prepaid expenses	4	1,899,609	6,620,781
Total current assets		197,006,761	204,452,827
NON-CURRENT ASSETS			
Property and equipment, net	5	58,959,845	59,058,547
Investment properties, net	6	65,385,811	65,413,872
Deferred income tax assets, net	12	1,315,717	1,297,962
Other non-current assets, net	7	34,873,729	34,872,067
Total non-current assets		160,535,102	160,642,448
Total assets		357,541,863	365,095,275
CURRENT LIABILITIES			
Trade and other payables	8	10,121,802	8,184,818
Dividends payable	9	7,580,899	7,432,806
Income tax payable		1,522,400	1,337,900
Total current liabilities		19,225,101	16,955,524
NON-CURRENT LIABILITIES			
Rental deposit		473,700	473,700
Retirement liability		850,365	732,002
Decommissioning liability	7	23,311,570	23,304,499
Total non-current liabilities		24,635,635	24,510,201
Total liabilities		43,860,736	41,465,725
EQUITY			
Share capital	9	274,664,490	274,664,490
Share premium		1,069,304	1,069,304
Accumulated other comprehensive income		1,919,440	1,919,440
Retained earnings		36,027,893	45,976,316
Total equity		313,681,127	323,629,550
Total liabilities and equity		357,541,863	365,095,275

(The accompanying notes are an integral part of these financial statements.)

Concrete Aggregates Corp. and Subsidiaries

Unaudited Consolidated Statements of Total Comprehensive Income
(All amounts in Philippine Peso)

	Notes	Unaudited January to September 2025	Unaudited January to September 2024	Unaudited July to September 2025	Unaudited July to September 2024
Revenue	16	50,551,391	51,739,207	18,199,715	17,468,249
Operating expenses	10	(15,726,050)	(17,539,392)	(4,409,224)	(5,813,836)
Operating income		34,825,341	34,199,815	13,790,491	11,654,413
Other income, net	11	7,004,595	5,528,036	2,249,207	2,098,518
Income before income tax		41,829,936	39,727,851	16,039,698	13,752,931
Income tax expense	12	(6,774,582)	(6,837,465)	(2,463,416)	(2,339,788)
Net income for the year		35,055,354	32,890,386	13,576,282	11,413,143
Other comprehensive loss <i>Item that may not be subsequently reclassified to profit or loss</i>					
Fair value loss on financial assets at FVOCI, net of tax		-	-	-	-
Total comprehensive income for the year		35,055,354	32,890,386	13,576,282	11,413,143
Basic and diluted earnings per share	14	1.28	1.20	0.49	0.42

(The accompanying notes are an integral part of these financial statements.)

Concrete Aggregates Corp. and Subsidiaries

Unaudited Consolidated Statements of Changes in Equity

(All amounts in Philippine Peso)

	Share Capital (Note 9)	Share Premium	Fair value reserve on financial assets at FVOCI	Retained Earnings (Note 9)	Total
Balances, December 31, 2023	274,664,490	1,069,304	1,671,350	30,418,283	307,823,427
Comprehensive income					
Net income for the period	-	-	-	32,890,386	32,890,386
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the period	-	-	-	32,890,386	32,890,386
Transaction with owners					
Cash dividends	-	-	-	(29,444,033)	(29,444,033)
Balances, September 30, 2024	274,664,490	1,069,304	1,671,350	33,864,636	311,269,780
Balances, December 31, 2023	274,664,490	1,069,304	1,671,350	30,418,283	307,823,427
Comprehensive income					
Net income for the year	-	-	-	45,002,066	45,002,066
Other comprehensive income	-	-	248,090	-	248,090
Total comprehensive income for the year	-	-	248,090	45,002,066	45,250,156
Transaction with owners					
Cash dividends	-	-	-	(29,444,033)	(29,444,033)
Balances, December 31, 2024	274,664,490	1,069,304	1,919,440	45,976,316	323,629,550
Comprehensive income					
Net income for the period	-	-	-	35,055,354	35,055,354
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the period	-	-	-	35,055,354	35,055,354
Transaction with owners					
Cash dividends	-	-	-	(45,003,777)	(45,003,777)
Balances, September 30, 2025	274,664,490	1,069,304	1,919,440	36,027,893	313,681,127

(The accompanying notes are an integral part of these financial statements.)

Concrete Aggregates Corp. and Subsidiaries

Unaudited Consolidated Statements of Cash Flows

(All amounts in Philippine Peso)

	Notes	Unaudited January to September 2025	Unaudited January to September 2024	Unaudited July to September 2025	Unaudited July to September 2024
CASH FLOWS FROM OPERATING ACTIVITIES					
Cash generated from (used in) operations	15	53,381,689	48,785,826	8,001,395	35,465,746
Interest received	11	4,651,921	3,452,172	1,491,328	1,398,706
Income taxes paid		(6,607,837)	(7,592,785)	(2,256,791)	(2,463,148)
Net cash flows from operating activities		51,425,773	44,645,213	7,235,932	34,401,304
CASH FLOWS FROM INVESTING ACTIVITIES					
Acquisition of:					
Investment property		-	(1,661,996)	-	-
Dividend received		201,511		-	-
Net cash flows from investing activities		201,511	(1,661,996)	-	-
CASH FLOWS FROM FINANCING ACTIVITIES					
Dividends paid		(44,855,684)	(29,194,814)	-	-
Net cash flows from investing activities		(44,855,684)	(29,194,814)	-	-
NET INCREASE IN CASH AND CASH EQUIVALENTS					
		6,771,600	13,788,403	7,235,932	34,401,304
CASH AND CASH EQUIVALENTS					
Beginning balance	2	168,337,446	160,270,976	167,873,114	139,658,074
At September 30	2	175,109,046	174,059,379	175,109,046	174,059,379

(The accompanying notes are an integral part of these financial statements.)

CONCRETE AGGREGATES CORP.

ACCOUNTS RECEIVABLE AGING (Unaudited)

As at September 30, 2025

Description	Total	1-30 days	30-120 days	Over 120 days
A. Trade Receivables	19,694,684	13,159,423	6,305,764	229,497
Net Trade Receivables	19,694,684	13,159,423	6,305,764	229,497
B. Other Receivables	9,577,517	-	-	9,577,517
Less: Allowance for Doubtful Accounts	(9,274,095)	-	-	(9,274,095)
Subtotal	303,422			303,422
Total	19,998,106	13,159,423	6,305,764	532,919

Concrete Aggregates Corporation and Subsidiaries

Notes to Consolidated Financial Statements

(In the Notes, all amounts are shown in Philippine Peso unless otherwise stated)

Note 1 – General information

Concrete Aggregates Corporation (the “Parent Company”) was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on August 23, 1968. The Parent Company is listed in the Philippine Stock Exchange (PSE) and is primarily engaged in quarrying, crushing and selling basalt concrete aggregates. As its secondary purpose, the Parent Company is permitted to engage in real estate business and purchase, own, subdivide, sell, lease, rent, mortgage, take option or otherwise deal in real property, improved or unimproved, be it residential, commercial, or agricultural, insofar as may be permitted by law. On March 15, 2018, the Board of Directors (BOD) of the Parent Company approved the amendment of Article IV of its Amended Articles of Incorporation extending the corporate life of the Parent Company, which will expire on August 23, 2018, for another 50 years or up to August 23, 2068. In 2023, a special shareholders’ meeting was held granting permission to management to pursue the activities related to the Parent Company’s secondary purpose.

On April 2, 1973, the Parent Company attained its status of being a “publicly listed company” when it listed its shares in the PSE. As a publicly listed company, it is covered by the Securities Regulation Code (SRC) Rule 68. There is no other listing or follow on offering thereafter. The Parent Company and its subsidiaries are collectively referred to as “the Group”.

The Parent Company’s quarrying operations in its property in Barangay San Isidro, Angono, Rizal is allowed by virtue of Mineral Production Sharing Agreements (MPSA) and Environmental Clearance Certificates (ECC) issued by the Department of Environment and Natural Resources (DENR).

The Parent Company’s immediate parent is Ortigas & Company, Limited Partnership (OCLP), and its ultimate parent is Ortigas Land Corporation (OLC), which are both domiciled in the Philippines.

Details of the Parent Company’s wholly owned subsidiaries, which are currently dormant companies, are as follows:

Name of Subsidiary	Status	% of ownership	
		2025	2024
CAC Insurance Agency Corp. (CIAC)	Dormant	100.00	100.00
CAC Marketing and Services Corp. (CMSC)	Dormant	100.00	100.00

CIAC and CMSC are both incorporated in the Philippines.

On June 1, 2008, the consortium of Republic Cement Corporation and Lafarge Holdings (Philippines), Inc. (the “Consortium”), through Batong Angono Aggregates Corporation (BAAC), took over the Parent Company’s quarrying operations by virtue of the Company’s Memorandum of Agreement with the Consortium dated January 18, 2008 and its Operating Agreement with BAAC dated January 23, 2008. In return, the Parent Company shall receive lump sum and basic royalty fees in accordance with the terms of its Operating Agreement (Note 16). BAAC was eventually renamed to LafargeHolcim Aggregates, Inc. (LHAI) in 2015. A change of name was once again undertaken in 2022 wherein LHAI changed its name to Helix Aggregates Inc. (HAI). An Addendum to the Operating Agreement was executed by and between CAC and HAI to extend the term of the Operating Agreement commencing June 1, 2023 until March 31, 2028.

Pursuant to the Operating Agreement, the Parent Company’s quarrying operations, including its employees, were transferred to HAI in 2008. Consequently, the Parent Company settled its retirement obligation to almost all its employees and the remaining retirement plan assets were returned to the Parent Company in 2009. The Parent Company has only three (3) regular employees as of September 30, 2025 and December 31, 2024.

The registered office address of the Company is located at the 7th Floor, West Wing, Estancia Offices, Capitol Commons, Meralco Avenue, Pasig City.

Note 2 – Cash and cash equivalents

The account consists of:

	Unaudited September 2025	Audited December 2024
Petty cash fund	40,000	60,000
Cash in banks	12,789,686	43,202,742
Short-term placements	162,279,360	125,074,704
	175,109,046	168,337,446

Cash in banks consist of current and savings deposits with universal banks which earn interest at the prevailing bank deposit rates. The short-term placements consist of time deposits which have maturities of up to one month (2024 – one month) depending on the immediate cash requirements of the Group and earn interest based on the prevailing short-term rates.

Interest income arising from savings and time deposits amounted to ₱4.22 million in the three quarters of 2025 (2024 – ₱3.15 million).

Note 3 – Receivables, net

The account consists of:

	Notes	Unaudited September 2025	Audited December 2024
Trade receivables	16	19,694,684	29,231,966
Other receivables		9,577,517	9,536,729
		29,272,201	38,768,695
Allowance for impairment of other receivables		(9,274,095)	(9,274,095)
		19,998,106	29,494,600

Trade receivables have credit term of 15-30 days and earn interest at 12% per annum.

Other receivables pertain to receivable from customers of the Group's discontinued Engineering and Construction Division in 2008 and cash advances to employees subject to salary deduction.

There are no movements in allowance for impairment of other receivables as at September 30, 2025 and December 31, 2024.

Critical accounting estimate: Expected credit loss on receivables

Expected credit loss (ECL) are unbiased probability-weighted estimates of credit losses which are determined by evaluating a range of possible outcomes and taking into account past events, current conditions and assessment of future economic conditions.

The Group has used relevant historical information and loss experience to determine the probability of default of the instruments and incorporated forward-looking information, including significant changes in external market indicators which involved estimates and judgements.

The Group has receivables from royalty and rental revenue. The receivables have been fully collectible within the normal credit period; hence, the expected credit losses (ECL) arising from trade receivables is assessed to be immaterial.

The allowance for impairment pertains to other receivables, which is substantially impaired.

Management believes, based on its assessment, that the carrying amount of receivables as at September 30, 2025 and December 31, 2024 is recoverable.

Note 4 – Prepaid expenses

As at September 30, 2025, prepaid expenses amount to ₱1,899,609 (2024 – ₱6,620,781) and consist mainly of real property tax and business tax paid in advance.

Note 5 – Property and equipment

Details of property and equipment and their movements during the period are as follows:

	Land	Buildings and Improvements	Transportation, furniture and equipment	Total
Gross carrying amount				
At January 1, 2024,				
December 31, 2024 and				
September 30, 2025	58,494,228	7,495,227	743,499	66,732,954
Accumulated depreciation and amortization				
At January 1, 2024	-	6,814,854	642,827	7,457,681
Depreciation and amortization	-	122,718	94,008	216,726
At December 31, 2024	-	6,937,572	736,835	7,674,407
Depreciation and amortization (Note 10)	-	92,038	6,664	98,702
At September 30, 2025	-	7,029,610	743,499	7,773,109
Net carrying amount				
At December 31, 2024	58,494,228	557,655	6,664	59,058,547
At September 30, 2025	58,494,228	465,617	-	58,959,845

There is no disposal of property and equipment for the period ended September 30, 2025 and for the year ended December 31, 2024. As at September 30, 2025, the fully depreciated assets still in use amounted to P5.65 million (December 31, 2024 - P5.58 million).

Critical accounting estimate: Useful lives of long-lived assets

The Group estimates the useful life of each of its property and equipment based on the period over which the asset is expected to be available for use. Such estimation is based on a collective assessment of practices of similar businesses, internal technical evaluation and experience with similar assets. The estimated useful life of each asset is reviewed periodically and updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the asset. It is possible, however, that future results of operations could be materially affected by changes in the amounts and timing of recorded expenses brought about by changes in the factors mentioned above. A reduction in the estimated useful life of any item of property and equipment increases the recorded operating expenses and decreases non-current assets.

Critical accounting judgment: Impairment of long-lived assets

The Group likewise determines whether there are indicators of impairment on its property and equipment at least on an annual basis. This includes considering certain factors such as significant changes in asset usage, significant decline in assets' market value, obsolescence or physical damage of an asset, significant underperformance relative to expected historical or projected future operating results and significant

negative industry or economic trends. If indicators of impairment have been identified, the Group determines the recoverable amount of the asset which is the higher of the asset's fair value less cost to sell and value in use.

Given historical profitable operations and sustained profit projection, the Group has assessed that there are no impairment indicators with respect to the above non-financial assets as at September 30, 2025 and December 31, 2024.

Note 6 – Investment properties, net

Details of investment properties and their movements during the period follow:

	Land	Land Improvements	Condominium Unit and parking slots	Total
Gross carrying amount				
At January 1, 2024	57,077,135	22,514,147	17,991,884	97,583,166
Additions	=	1,661,996	-	1,661,996
At December 31, 2024 and Sept 30, 2025	57,077,135	24,176,143	17,991,884	99,245,162
Accumulated depreciation and amortization				
At January 1, 2024	-	15,801,991	17,991,884	33,793,875
Depreciation and amortization	-	37,415	-	37,415
At December 31, 2024	-	15,839,406	17,991,884	33,831,290
Depreciation and amortization (Note 10)	-	28,061	-	28,061
At September 30, 2025	-	15,867,467	17,991,884	33,859,351
Net carrying amount				
At December 31, 2024	57,077,135	8,336,737	-	65,413,872
At September 30, 2025	57,077,135	8,308,676	-	65,385,811

There are no disposals of investment properties for the period ended September 30, 2025 and for the year ended December 31, 2024.

As at September 30, 2025, the fair value of the Group's investment properties approximates ₱1.10 billion. The fair value of the Group's investment properties was determined by an independent external appraiser using the sales comparison approach (market data approach), which considers the sales of similar or substitute properties and related market data and establishes a value estimate by processes involving comparison. In general, a property being valued (a subject property) is compared with sales of similar properties that have been transacted in the market.

In the three quarters of 2025, rent income from investment properties amounted to ₱2.15 million (2024 – ₱2.08 million) (Note 11), while expenses incurred for investment properties consisting mostly of real property taxes and security services amounted to ₱3.49 million (2024 – ₱3.05 million).

Critical accounting estimate: Useful lives of long-lived assets

The Group estimates the useful life of each of its investment properties based on the period over which the asset is expected to be available for use. Such an estimation is based on a collective assessment of practices of similar businesses, internal technical evaluation and experience with similar assets. The estimated useful life of each asset is reviewed periodically and updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the asset. It is possible, however, that future results of operations could be materially affected by changes in the amounts and timing of recorded expenses brought about by changes in the factors mentioned above. A reduction in the estimated useful life of any item of investment property would increase the recorded operating expenses and decrease non-current assets.

Critical accounting judgment: Impairment of long-lived assets

The Group likewise determines whether there are indicators of impairment on its investment properties at least on an annual basis. This includes considering certain factors such as significant changes in asset usage, significant decline in assets' market value, obsolescence or physical damage of an asset, significant underperformance relative to expected historical or projected future operating results and significant negative industry or economic trends. If indicators of impairment have been identified, the Group determines the recoverable amount of the asset which is the higher of the asset's fair value less cost to sell and value in use.

Given the historical profitable operations and sustained profit projections, the Group has assessed that there are no impairment indicators with respect to its non-financial assets as at September 30, 2025 and December 31, 2024.

Critical accounting judgment: Transfers to or from investment properties

The Group transfers a property to, or from, investment property when, and only when, there is a change in use. A change in use occurs when the property meets, or ceases to meet, the definition of investment property and there is evidence of the change in use.

As at September 30, 2025 and December 31, 2024, the Group has assessed that there is no change in the use of its long-lived assets.

Note 7 – Other non-current assets

The account consists of:

	Unaudited September 2025	Audited December 2024
Mine rehabilitation fund	29,521,542	29,495,682
Miscellaneous deposits	2,671,317	2,695,515
Financial assets at FVOCI	2,680,870	2,680,870
	34,873,729	34,872,067

Mine Rehabilitation Fund

Pursuant to the requirements of Republic Act (RA) No. 7942, otherwise known as "The Philippine Mining Act of 1995", the Group maintains a Mine Rehabilitation Fund (MRF) with the Land Bank of the Philippines. The MRF shall be used for the physical and social rehabilitation of areas affected by the Group's quarrying activities, and for research in the social, technical and preventive aspects of the mine rehabilitation. Under the Group's Operating Agreement with HAI (Note 16), HAI shall have the exclusive right to manage, operate and provide additional MRF as may be required by applicable laws and regulations provided that the MRF will remain in the name of the Group as the contracting party to the MPSA. In 2018, the Final Mine Rehabilitation and Decommissioning Plan (FMDRP) was approved by DENR. In 2018, funds received by the Group from HAI amounted to ₱13.13 million. In June 2019, HAI provided additional funds to the MRF amounting to ₱10.03 million. As at September 30, 2025, the decommissioning liability amounted to ₱23.31 million (2024 - ₱23.30 million).

The movement in MRF in 2025 and 2024 pertains to interest earned from the bank. In the presentation to the Mine Rehabilitation Fund Committee (MRFC) under Mines and Geosciences Bureau held in 2024, the sufficiency of the fund was approved. As of September 30, 2025, CAC's FMRDP is under evaluation by the Contingent Liability and Rehabilitation Fund Steering Committee (CLRFSC) and is pending approval.

Miscellaneous deposits

Miscellaneous deposits pertain to cash deposits in escrow fund set aside for settlement of labor cases filed by former employees.

Interest arising from time deposits for the MRF and miscellaneous deposits amounted to P20,170 for the three quarters ended September 30, 2025 (2024 – P17,686).

Financial assets at FVOCI

Financial assets at FVOCI are composed of equity investments in listed entities and club shares amounting to P1,760,870 and P920,000 (2024 – P1,760,870 and P920,000), respectively. There are no valuation of gains or losses recognized in the statement of total comprehensive income for the period ended September 30, 2025 (2024 – nil). Dividends amounting to P201,511 were earned for the period ended September 30, 2025 (2024 – nil).

Note 8 – Trade and other payables

The account consists of:

	Unaudited September 2025	Audited December 2024
Trade payables and accrued expenses	7,790,508	5,985,423
Payable to government agencies	2,315,846	2,062,047
Other payables	15,448	137,348
	10,121,802	8,184,818

Accrued expenses consist mainly of liabilities pertaining to professional fees, contracted services and utilities.

Note 9 – Equity

Details of the Parent Company's share capital are as follows:

	Class A	Class B	Total
Common shares, P10 par value			
Authorized shares			
Number of shares	40,000,000	10,000,000	50,000,000
Amount	400,000,000	100,000,000	500,000,000
Issued and outstanding shares			
Number of shares	22,077,771	5,388,678	27,466,449
Amount	220,777,710	53,886,780	274,664,490

As at September 30, 2025, issued and outstanding share capital of the Parent Company is held by 548 shareholders (2024 – 545) of which 387 shareholders (2024 – 387) each own 100 or more shares.

Class A and Class B common shares have the same rights and privileges. Class A common shares shall be issued solely to Filipino citizens, while Class B common shares may be issued to Filipino and non-Filipino citizens.

As at September 30, 2025, there are 22,077,771 issued and outstanding Class A common shares, of which 6,047,676 are floating shares, whereas there are 5,388,678 issued and outstanding Class B common shares, of which 403,066 are floating shares. The latest closing price for Class A common shares as at September 30, 2025 was recorded at P53.95 per share (2024 – P45.00 per share), while Class B common shares closed at P54.00 per share (2024 – P46.75).

Cash dividends were declared to shareholders as authorized by the Parent Company's BOD as follows:

Date declared	Shareholders of record as at	Paid on	Amount per share	Amount
23 March 2023	12 April 2023	4 May 2023	0.843	23,154,217
21 March 2024	10 April 2024	2 May 2024	1.072	29,444,033
13 March 2025	11 April 2025	25 April 2025	1.6385	45,003,777

As at September 30, 2025, unpaid dividends amount to ₱7.58 million (2024 – ₱7.43 million).

Note 10 – Cost and expenses

The account for the periods ended consists of:

	Notes	Unaudited September 2025	Unaudited September 2024
Taxes and licenses		5,458,015	5,328,304
Contracted services		3,020,799	3,184,237
Professional fees		2,752,751	2,505,104
Dues and registrations		2,506,738	4,620,534
Personnel costs		1,303,087	1,090,090
Depreciation and amortization	5,6	126,763	194,107
Employee Benefits		118,363	28,898
Insurance		105,028	155,158
Utilities		96,391	96,596
Meetings		92,298	232,615
Transportation		59,247	64,575
Others		86,570	39,174
Total		15,726,050	17,539,392

The above expenses are classified as:

	Unaudited September 2025	Unaudited September 2024
Direct operating expenses	8,154,980	8,520,680
Other operating expenses	7,571,070	9,018,712
	15,726,050	17,539,392

Depreciation and amortization shown above are attributable to the following:

	Notes	Unaudited September 2025	Unaudited December 2024
Property and equipment	5	98,702	216,726
Investment property	6	28,061	37,415
		126,763	254,141

Details of the personnel costs shown above are as follows:

	Unaudited September 2025	Unaudited September 2024
Salaries and wages	1,101,060	958,991
Other benefits	320,390	159,997
	1,421,450	1,118,988

The retirement expense included as part of Employee Benefits under Operating expenses amounted to P118,363 for the period ended September 30, 2025 (2024 – P28,876).

Note 11 - Other income, net

Details of other income and charges are as follows:

	Notes	Unaudited September 2025	Unaudited September 2024
Interest income on bank deposits	2,7	4,237,120	3,163,465
Rent income	6	2,153,863	2,079,974
Interest income on receivable		414,801	288,707
Dividend income		201,511	-
Bank charge		(2,700)	(4,110)
		7,004,595	5,528,036

Note 12 - Income taxes

Income tax expense for the periods ended consists of:

	Unaudited September 2025	Unaudited September 2024
Current	6,792,337	6,840,342
Deferred	(17,755)	(2,877)
	6,774,582	6,837,465

DIT assets, net for the periods ended are as follows:

	Unaudited September 2025	Audited December 2024
DIT asset and liability		
Allowance for impairment of other receivables	1,434,562	1,434,562
Others	127,555	109,800
DIT liability		
Unrealized fair value gain on financial assets at FVOCI/AFS		
Securities	(246,400)	(246,400)
	1,315,717	1,297,962

DIT asset and liability are expected to be realized/settled beyond 12 months from the reporting date.

The movements in DIT assets, net for the periods ended are as follows:

	Unaudited September 2025	Audited December 2024
At January 1	1,297,962	1,337,422
Charged to profit or loss	17,755	4,320
Charged to other comprehensive income	-	(43,780)
	1,315,717	1,297,962

The reconciliation of income tax computed at the statutory income tax rate to the effective income tax expense recognized in profit or loss is as follow:

	Unaudited September 2025	Unaudited September 2024
Income tax computed at statutory income tax rate	10,457,484	9,931,963
Adjustments to income tax resulting from:		
Availment of OSD	(2,623,622)	(2,303,632)
Interest income subjected to final tax	(1,059,280)	(790,866)
Income tax expense	6,774,582	6,837,465

Critical accounting judgment: Recognition of deferred income tax assets

The Group reviews the carrying amounts of DIT assets at each reporting date and reduces DIT assets to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the DIT assets to be utilized. As at September 30, 2025 and December 31, 2024, the DIT assets are deemed to be realizable.

Note 13 - Related party transactions

The table below summarizes the Group's transactions with its related parties:

	Description	Unaudited September 2025	Unaudited September 2024
Management fees			
Ultimate parent company	Refer to (a) below	1,953,947	1,860,902
Dividends			
Immediate parent company	Refer to Note 9	34,420,920	22,520,131

The outstanding balance at September 30, 2025 arising from above related party transactions are as follows:

	Unaudited September 2025	Audited December 2024	Terms and conditions
Management fee payable			
Ultimate parent company	-	-	Due on demand, unsecured and noninterest-bearing, payable in cash at gross amount
Dividends payable			
Immediate parent company	-	-	Due on demand, unsecured and noninterest-bearing, payable in cash at gross amount

Eliminations

There are no balances or transactions eliminated in preparing the financial statements since the investments are fully impaired. Moreover, the subsidiaries have no balances and transactions.

(a) Management Agreement

During the Board of Directors' meeting held on April 17, 2020, the Board approved the execution of the Management Agreement with OLC effective as of November 1, 2020 with a term of five years and a monthly management fee, subject to annual escalation. This was ratified during the Annual Stockholders' Meeting

of CAC held on June 25, 2020. In a meeting held on March 13, 2025, the Board of Directors approved the renewal of the Agreement for an additional term of five years until October 2030. The renewal was ratified during the Annual Stockholders' Meeting held on April 30, 2025.

Total management fee recognized is included as part of Professional fees under Operating expenses in the statement of total comprehensive income. Invoices for management fee carry a 30-day term, interest-free and without any collateral.

(b) Compensation of Key Management Personnel

There are no compensation and benefits paid in the three quarters of 2025 and 2024 to key management personnel, as the management of CAC is covered by the Management Agreement.

Note 14 - Basic/diluted earnings per share

Basic/diluted earnings per share amounts are calculated as follows:

	Unaudited September 2025	Audited December 2024
Net income for the period	35,055,354	45,002,066
Divided by weighted average number of common shares outstanding during the year	27,466,449	27,466,449
Basic/diluted earnings per share	1.28	1.64

The basic and diluted earnings per share are the same for the periods as the Group does not have dilutive potential common shares as at September 30, 2025 and December 31, 2024.

Note 15 - Cash generated from operations

Details of cash generated from operations for the periods ended as follow:

	Notes	Unaudited January to September 2025	Unaudited January to September 2024	Unaudited July to September 2025	Unaudited July to September 2024
Income (loss) before income tax		41,829,936	39,727,851	16,039,698	13,752,931
Adjustments for:					
Interest income from banks	2, 7, 11	(4,237,120)	(3,163,465)	(1,491,328)	(1,109,999)
Interest income from receivables		(414,801)	(288,707)	-	(288,707)
Dividend Income		(201,511)	-	(49,379)	-
Accrued retirement expense		118,363	28,876	39,455	9,626
Depreciation and amortization	5,6,10	126,763	194,107	40,030	63,534
Operating income (loss) before changes in operating assets and liabilities		37,221,630	36,498,662	14,578,476	12,427,385
Changes in operating assets and liabilities					
(Increase) decrease in:					
Receivables		9,496,494	9,665,159	(7,704,480)	21,161,559
Prepaid expenses		4,721,172	3,896,780	1,720,508	1,882,731
Other non-current assets		(1,662)	(72,442)	17,174	(9,913)
(Decrease) increase in:					
Trade and other payables		1,936,984	(1,206,946)	(612,640)	1,727
Decommissioning		7,071	4,613	2,357	2,257
Cash generated from operations		53,381,689	48,785,826	8,001,395	35,465,746

Note 16 - Significant agreements

Effective June 1, 2008, the Consortium, through HAI, took over the Group's quarrying operations by virtue of the Agreement dated January 18, 2008 executed between the Group and the Consortium. The Agreement provided for, among others, the execution of the following agreements:

- Operating Agreement with HAI (see below);
- Asset Purchase Agreement with HAI, pursuant to which HAI purchased all the rights, title and interest of the Group in certain operating assets, which include property and equipment, for ₱217.6 million;
- Share Purchase Agreement with the Consortium, pursuant to which the Consortium purchased all the Group's rights, title and interest in HAI for ₱587 million; and
- Trademark License Agreement with HAI (see below).

The Asset Purchase and Share Purchase Agreements were consummated in 2008.

(a) Operating Agreement with HAI

On January 23, 2008, the Group executed an Operating Agreement with HAI, pursuant to which HAI shall, among others:

- Extract aggregates at least at the minimum extraction rate, which means 1.6 million metric tons (MMT) (or 1.06 million cubic meters) per annum at the ECC maximum extraction limit of 2.7 MMT (or 1.8 million cubic meters) per annum at the time the Operating Agreement was executed and after the second anniversary date of the approval by the Department of Environment and Natural Resources (DENR) of the Group's application for increase of the maximum extraction limit from 2.7 MMT to 5.25 MMT (or 3.6 million cubic meters), means 2.6 MMT per annum (or 1.74 million cubic meters).
- Conduct quarrying operations for a period of fifteen (15) years: (i) in accordance with the MPSA between the Group and the DENR, the ECC issued by the DENR, applicable laws and regulations and applicable industry standards; and (ii) in accordance with the existing development plan of the Group.

MPSA represents Mineral Production Sharing Agreement No.032-95-IV (1st MPSA) and No.055-96-IV (2nd MPSA) entered into with the Government of the Republic of the Philippines through DENR. In 2021, the 1st and 2nd MPSAs are renewed for another 25-year term ending in years 2045 and 2046, respectively.

- Pay royalty to the Group with the following terms:
 - i. two-and-a-half percent (2.5%) of the value of the aggregates sold;
 - ii. a lump-sum amount of ₱300 million after the approval by the DENR of the increase in the maximum extraction rate from 2.7 MMT to 5.25 MMT per annum; and
 - iii. the royalty amount to be adjusted/indexed annually to the weighted average price of the aggregates sold on an arms' length pricing.
- Maintain the MPSA in good standing, as well as complete and accurate records relating to the quarrying operations.

In 2008 and 2009, the Group recognized the lump sum amount as royalty fee due to the fulfillment of the conditions contained in an Amendment to the Agreement dated June 2, 2008 executed by the Group. In 2010, the Group had received the full settlement of ₱300 million lump sum amount in accordance with the agreed payment terms.

An Addendum to the Operating Agreement was executed by and between the Parent Company and HAI to extend the term of the Operating Agreement commencing June 1, 2023 until March 31, 2028. The terms and conditions of the original Agreement remain in full force and effect for the entire duration of the revised term, and includes the following additional terms: [1] the obligation of HAI to extract aggregates based on the Production Schedule and following the Quarry Extraction Plan, [2] the obligation of HAI to rehabilitate the quarry

site in accordance with the Quarry Rehabilitation Plan, and [3] the amount of royalty payable by HAI to Parent Company will be computed using the revised rate of four percent (4%) of the gross selling price of the aggregates sold, either by HAI or any party related or affiliated with HAI, to a third party or to non-affiliated customers, without any deductions.

Basic royalty fee of 4% of the gross selling price of the aggregates sold amounted to ₱50.55 million for the three quarters of 2025 (2024 – ₱51.74 million). Outstanding receivable arising from royalty fee amounted to ₱19.69 million as at September 30, 2025 (2024 – ₱20.53 million). The royalty fees billed and collected from HAI are treated as revenue from lease of mining rights and are considered as rental income subject to income tax and 5% withholding tax and does not qualify within the definition of royalty under Section 24 of the National Internal Revenue Code of 1997 subject to 20% final withholding tax. The royalty fees presented in the income statement of the financial statements and rental income reported in the tax returns pertain to one and the same revenue.

(b) Trademark License Agreement

On June 2, 2008, in relation to the Operating Agreement, the Group and HAI entered into a Trademark License Agreement granting HAI a license to use the following trademarks and service marks for the period and under the terms and conditions set out in the said agreement:

- “Concrete Aggregates Corporation and Device”;
- “Blue Sand”;
- “Blue Sand and Device”;
- “Blue Rock”;
- “Blue Rock and Device”; and
- “Blue Sand Vibro and Device”.

No separate fees are charged to HAI in relation to this agreement; fees are embedded in the royalty fees charged to HAI on account of the Operating Agreement discussed above.

Note 17 - Contingencies

The Group is involved in various legal proceedings incidental to its normal business activities. The Group's management and legal counsel are of the opinion that the amount of the ultimate liability with respect to these matters would not have a material adverse effect on the financial position, financial performance or liquidity of the Group. The detailed information of these legal proceedings was not disclosed as it might prejudice the ongoing litigations.

Note 18 – Subsequent Events

There is no subsequent event from the reporting date.

Note 19 - Critical accounting estimates, assumptions and judgments

The Group makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates, assumptions and judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Estimates, assumptions and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

a) Critical accounting estimates and assumptions

- *Expected credit loss on receivables (Note 3)*
- *Useful lives of long-lived assets (Notes 5 and 6)*

b) Critical judgments in applying the Group's accounting policies

- *Impairment of long-lived assets (Notes 5 and 6)*
- *Transfers to or from investment properties (Notes 5 and 6)*
- *Recognition of deferred income tax assets (Note 12)*

Note 20 - Financial risk and capital management

The Group's activities expose it to a variety of financial risks: credit risk, market risk (mainly currency risk and price risk), and liquidity risk. The Group's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Group's financial performance.

The Group's risk management policies are designed to identify and analyze these risks and to monitor the risks by means of reliable and up-to-date information systems. The Group regularly reviews its risk management policies and systems to reflect changes in markets, products and emerging best practices.

The Group's Management, under the direction of the BOD, is responsible for the management of financial risks. The objective of risk management is to minimize adverse impacts on the Group's financial performance due to the unpredictability of financial markets.

The most important types of risk the Group manages are: credit risk and liquidity risk.

The Group has no significant assets and liabilities exposed to significant market risks such as foreign currency risks, cash flow and fair value interest rate risks and price risks.

20.1 Financial risk management

20.1.1 Credit risk

Credit risk refers to the risk that a counterparty will cause a financial loss to the Group by failing to discharge an obligation. Significant changes in the economy, or in the prospects of a particular industry segment that may represent a concentration in the Group's business, could result in losses that are different from those provided for at the reporting date. Management therefore carefully manages its exposure to credit risk. Credit exposures arise principally from cash and cash equivalents, receivables and miscellaneous deposits. Credit risk is closely monitored by the Management on an ongoing basis.

The maximum credit risk exposure relating to significant financial assets in the statement of financial position is as follows:

	Notes	2025	2024
Cash and cash equivalents	2	175,069,046	168,277,446
Receivables			
Trade receivables	3	19,694,684	29,231,966
Other receivables, net	3	303,422	262,634
Other non-current assets			
Mine rehabilitation fund	7	29,521,542	29,495,682
Miscellaneous deposit	7	2,671,317	2,695,515
		227,260,011	229,963,243

Cash and cash equivalents exclude cash on hand as at September 30, 2025 amounting to ₱40,000 (2024 - ₱60,000) (Note 2).

The Group does not hold any collateral as security for receivables noted above. There were no financial assets whose terms were renegotiated during the three quarters of 2025.

Credit quality of financial assets

The credit quality of financial assets is managed by the Group using internal credit ratings. The table below summarizes the credit quality of the Group's financial assets:

	Neither Past Due nor Impaired		Past Due but Not Impaired	Impaired	Total
	High Grade	Standard Grade			
2025					
Cash and cash equivalents	175,069,046	-	-	-	175,069,046
Receivables					
Trade receivables	-	13,159,423	6,535,261	-	19,694,683
Other receivables, gross	-	303,422	-	9,274,095	9,577,517
Other non-current assets					
Mine rehabilitation	29,521,542	-	-	-	29,521,542
Miscellaneous deposits	2,671,317	-	-	-	2,671,317
	207,261,905	13,462,845	6,535,261	9,274,095	236,534,106
2024					
Cash and cash equivalents	168,277,446	-	-	-	168,277,446
Receivables					
Trade receivables	-	3,644,534	25,587,432	-	29,231,966
Other receivables, gross	-	262,634	-	9,274,095	9,536,729
Other non-current assets					
Mine rehabilitation	29,495,682	-	-	-	29,495,682
Miscellaneous deposits	2,695,515	-	-	-	2,695,515
	200,468,643	3,907,168	25,587,432	9,274,095	239,237,338

High grade rating is given to those counterparties with no history of default. On the other hand, standard grade rating is given to counterparties or customers with low collection risk and with history of default but eventually, collection of amounts due were made.

Neither past due nor impaired, past due but not impaired and impaired pertains to performing, underperforming and non-performing financial assets, respectively.

The Group manages credit risk on its cash and cash equivalents by placing investments in banks that qualified in the criteria of the Group. Some of these criteria are stability, financial performance, industry-accepted ratings, quality, diversity and responsiveness of products and services.

As at September 30, 2025, the Group's cash and cash equivalents amounting to ₱175.07 million (2024 – ₱168.28 million) are maintained in universal banks (Note 2).

Trade receivables are accounts with HAI, which are assessed to be fully collectible. Hence, no ECL was recognized from these receivables. The receivables were substantially collected in the month following the reporting period.

The balance of impaired other receivables in 2025 and 2024 pertains to receivables from customers of discontinued Engineering and Construction Division of the Group amounting to ₱9.27 million (Note 3), which has been outstanding for more than 10 years.

20.1.2 Market risks

Market risk is the risk of loss of future earnings or future cash flows arising from changes in the price of a financial instrument. The value of a financial instrument may change as a result of changes in equity prices, interest rates, foreign currency exchange rates and other market changes.

The Group has no exposure to foreign exchange risk as it has no assets, liabilities or transactions denominated in foreign currency.

(a) Interest rate risk

Cash flow interest rate risk is the risk that future cash flows of a financial instrument will fluctuate because of changes in market interest rates, while fair value interest rate risk is the risk that the value of a financial instrument will fluctuate due to changes in market interest rates. The Group is not exposed to cash flow interest rate risk as there are no variable-interest-bearing financial assets and liabilities.

(b) Price risk

The Group has minimal exposure to equity price risk which arises mainly from financial assets at FVOCI. Equity price risk arises because of fluctuations in market prices of equity securities. The Group is not exposed to commodity price risk.

20.1.3 Liquidity risk

Liquidity risk is the risk that the Group will be unable to meet its payment obligations associated with its financial liabilities when they fall due. The consequence may be the failure to meet obligations to repay creditors and fulfill commitments.

The Group's liquidity management process, as carried out within the Group and monitored by the Management includes:

- Day-to-day funding requirement, managed by monitoring future cash flows to ensure that requirements can be met;
- Prudent management of cash and cash equivalents;
- Efficient cash collection program; and
- Monitoring liquidity ratios in the statement of financial position against internal requirements.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month, respectively, as these are key periods for liquidity management. The starting point for these projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

The table below summarizes the maturity profile of the Group's financial liabilities as at September 30, 2025 and December 31, 2024 based on contractual undiscounted payments:

	Less than 3 months	3 to 12 Months	More than one year	Total
2025				
Trade payables and Accrued expenses	7,790,508	-	-	7,790,508
Dividends payable	7,580,899	-	-	7,580,899
Rental deposit	-	-	473,700	473,700
Decommissioning liability	-	-	23,311,570	23,311,570
Other payables	-	15,448	-	15,448
	15,371,407	15,448	23,785,270	39,172,125
2024				
Trade payables and Accrued expenses	5,985,423	-	-	5,985,423
Dividends payable	7,432,806	-	-	7,432,806
Rental deposits	-	-	473,700	473,700
Decommissioning liability	-	-	23,304,499	23,304,499
Other payables	-	137,348	-	137,348
	13,418,229	137,348	23,778,199	37,333,776

As at September 30, 2025, payables to government agencies amounting to ₱2.32 million (2024 – ₱2.06 million) (Note 8) are considered non-financial liabilities.

Management does not foresee any significant liquidity risk due to its strong cash position as at the reporting date.

20.2 Fair value estimation

The Group uses sales comparison approach in determining the fair values of its investment properties which uses observable inputs such as prices, broker quotes and other relevant information generated by market transactions involving identical or comparable assets or group of assets. Appropriate adjustments are made to the valuations taking into consideration the specific circumstances of the properties. The fair values of the Group's investment properties as disclosed in Note 6 fall under Level 3 of the fair value hierarchy. The main Level 3 inputs used by the Group pertain to marketability and size.

The following table presents the Group's financial assets that are measured at fair value at September 30, 2025 and December 31, 2024 following the fair value hierarchy definition as described in Note 21.10 - Fair value measurement.

	Level 1	Level 2	Total
2025			
Recurring measurements			
Financial assets at FVOCI	-	2,389,000	2,389,000
2024			
Recurring measurements			
Financial assets at FVOCI	-	2,389,000	2,389,000

Level 2 category includes the Group's investments in club shares as their prices are not derived from a market considered as active due to lack of a sufficient volume of trading activities among market participants at the end of each reporting period.

The fair values of the Group's decommissioning liability and rental deposits approximate their carrying values as the impact of discounting is not significant. The remaining financial assets and liabilities are generally short-term in nature, thus, fair value approximates carrying amount.

There are no financial instruments classified as Level 3 as at September 30, 2025 and December 31, 2024. There were also no transfers between the levels in the fair value hierarchy during the periods ended September 30, 2025 and December 31, 2024.

20.3 Capital management

The primary objective of the Group's capital management is to safeguard its ability to continue as a going concern, so that it can continue to provide returns to shareholders and benefits to other stakeholders, and to maintain an optimal capital structure to reduce the cost of capital.

The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

The Group's capital consists of total equity (less any reserves) as shown in the consolidated statement of financial position which is calculated as follows:

	Unaudited September 2025	Audited December 2024
Share capital	274,664,490	274,664,490
Share premium	1,069,304	1,069,304
Retained earnings	36,027,893	45,976,316
	311,761,687	321,710,110

As part of the reforms of the Philippine Stock Exchange (PSE) to expand capital market and improve transparency among listed firms, the PSE requires listed entities to maintain a minimum of ten percent (10%) of their issued and outstanding shares held by the public. The Parent Company has fully complied with this requirement as at September 30, 2025 and December 31, 2024.

There are no changes in the Group's capital management policies as at September 30, 2025 and December 31, 2024.

Note 21 - Summary of material accounting policies

The material accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

21.1 Basis of preparation

The financial statements of the Group have been prepared in accordance with PFRS Accounting Standards. PFRS Accounting Standards comprise the following authoritative literature:

- PFRS Accounting Standards
- PAS Standards, and
- Interpretations issued by the Philippine Interpretations Committee (PIC), Standing Interpretations Committee (SIC) and International Financial Reporting Interpretations Committee (IFRIC) as approved by the Financial Reporting Standards Council (FRSC) and the Board of Accountancy, and adopted by the SEC.

These consolidated financial statements have been prepared under the historical cost convention, as modified by the revaluation of FVOCI financial assets included under other non-current assets (Note 7).

The preparation of these consolidated financial statements in conformity with PFRSs requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 19. These consolidated financial statements have been prepared under the going concern assumption.

Changes in accounting policies and disclosures

Amendments to existing standards not yet effective and not early adopted by the Group

There are no standards, amendments to existing standards or interpretations effective for the financial year beginning on January 1, 2025 that are considered relevant or would be expected to have a material impact on the Group's financial statements.

21.2 Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its wholly owned subsidiaries as at September 30, 2025 and December 31, 2024. The subsidiaries' financial statements are prepared for the same reporting year as the Parent Company. The Group uses uniform accounting policies. Details of the subsidiaries are presented in Note 1.

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The subsidiaries have no balance and operations. Moreover, the investment balance is reduced to zero.

21.3 Cash and cash equivalents

Cash and cash equivalents include cash on hand, bank deposits and other short-term highly liquid investments with maturities of three months or less from the dates of acquisition and that are subject to insignificant risk of changes in value.

Cash and cash equivalents are recognized at face value or nominal amount.

21.4 Receivables

Trade receivables arising from royalty agreement and rent with normal credit term of 30 days, are recorded initially at fair value and subsequently measured at amortized cost less any allowance for impairment. Fair value approximates invoice amount due to the short-term nature of these receivables.

Receivables from officers and employees are recognized when the contractual right to receive cash from the officer or employee is established. These are measured at nominal amount (due to their generally short-term maturity), less any allowance for impairment, if any.

Receivables are classified as current assets if expected to be collected or recovered within one year or less. If not, they are presented as non-current assets.

Allowance for impairment of receivables is maintained at a level considered adequate to provide for uncollectible receivables. Expected credit losses (ECL) on trade and other receivables are unbiased probability-weighted estimates of credit losses which are determined by evaluating a range of possible outcomes and taking into account past events, current conditions and assessment of future economic conditions.

The relevant policies on classification, recognition, measurement, impairment and derecognition are further disclosed in Note 21.5.

21.5 Financial instruments

(i) *Classification*

The group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value [either through other comprehensive income (OCI), and,
- those to be measured at amortized cost.

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income (FVOCI).

The Group reclassifies debt investments when, and only when, its business model for managing those assets changes.

The financial liabilities are classified by the Group at amortized cost.

(ii) Recognition

The Group recognizes a financial asset or a financial liability in the statement of financial position when it becomes a party to the contractual provisions of the instrument. Regular way purchases and sales of financial assets are recognized on trade-date, the date on which the Group commits to purchase or sell the financial asset.

(iii) Measurement

At initial recognition, the Group measures a financial asset or liability at its fair value plus, in the case of a financial asset or liability not at FVTPL, transaction costs that are directly attributable to the acquisition of the financial asset or liability. Transaction costs of financial assets carried at FVTPL are expensed in profit or loss.

(a) Financial assets - debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the financial asset and the cash flow characteristics of the financial asset. The Group classifies its debt instruments as:

- Amortized cost: Financial assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognized directly in profit or loss and presented in "Other income" account. Impairment losses are presented as separate line item in the statement of profit or loss.

This financial asset classification applies primarily to the Group's Cash and cash equivalents (Note 2), Trade and other receivables, net (Note 3) and Other non-current assets (Note 7).

(b) Financial assets - equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognized in profit or loss as other income when the Group's right to receive payments is established.

Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

The Group's investments in equity instruments as at September 30, 2025 and December 31, 2024 pertain to listed shares and club shares which are not held for trading; thus, classified as financial assets at FVOCI.

(c) *Financial liabilities*

The Group's financial liabilities are subsequently measured at amortized cost using the effective interest rate method.

This accounting policy applies to the Group's Trade and other payables (Note 21.12).

(iv) *Impairment*

The Group assesses on a forward-looking basis the expected credit losses (ECL) associated with its financial assets carried at amortized cost. The Group recognizes a loss allowance for such losses at each reporting date.

The measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of money; and,
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

The Group applied the simplified approach permitted by PFRS 9 for its receivables, which requires expected lifetime losses to be recognized from initial recognition of the receivables. To measure the ECL, receivables have been grouped based on shared credit risk characteristics and the days past due.

The expected loss rates are based on the historical profiles of receivable balances and the corresponding historical credit losses experienced for these balances. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

Impairment losses on receivables are presented as a separate line item within operating profit. Subsequent recoveries of amounts previously written off are credited on "Other income" account in profit or loss.

(v) *Determination of fair value*

The fair value for financial instruments traded in active markets at the financial reporting date is based on their quoted market price or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs. When current bid and asking prices are not available, the price of the most recent transaction provides evidence of the current fair value as long as there has not been a significant change in economic circumstances since the time of the transaction. For all other financial instruments not listed in an active market, the fair value is determined by using appropriate valuation techniques. Valuation techniques include net present value techniques, comparison to similar instruments for which market observable prices exist and other relevant valuation models. Any difference noted between the fair value and the transaction price is treated as expense or income, unless it qualifies for recognition as some type of asset or liability.

(vi) *Derecognition of Financial Assets and Liabilities*

(a) *Financial asset*

A financial asset (or, where applicable a part of a financial asset or part of a group of financial assets) is derecognized when:

- the right to receive cash flows from the asset has expired;
- the Group has transferred its rights to receive cash flows from the asset and has assumed an obligation to pay them in full without material delay to a third party under a "passthrough"

arrangement; or either (i) has transferred substantially all the risks and rewards of the asset, or (ii) has neither transferred nor retained the risk and rewards of the asset but has transferred the control of the asset.

Where the Group has transferred its rights to receive cash flows from an asset or has entered into a “pass-through” arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group’s continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

(b) Financial liability

A financial liability is derecognized when the obligation under the liability is discharged, cancelled, or has expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

21.6 Prepaid expenses

Prepaid expenses are amortized and charged to expense over a 12-month period.

Prepaid expenses are recognized in the event that payments have been made in advance of obtaining right of access to good or receipt of services and measured at normal amounts. These are derecognized from the statement of financial position upon delivery of goods or services, through amortization over a period of time and use of consumption.

21.7 Property and equipment

Property and equipment, excluding land and quarry land, are stated at cost less accumulated depreciation and amortization and any impairment losses. Land and quarry land are stated at cost less any impairment losses. Land and quarry land are not subject to depreciation.

The initial cost of property and equipment is comprised of the purchase price and costs directly attributable to bringing the assets to their intended use. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Subsequent expenditures incurred after the assets have been put into operation are included in the asset’s carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably the carrying amount of the replaced part is derecognized. All other repairs and maintenance costs are charged to profit or loss during the period in which they are incurred.

Depreciation is recognized in profit or loss on a straight-line basis over the estimated useful lives of the assets, as follows:

	In years
Buildings and improvements	20
Transportation, furniture and equipment	3 to 5

The useful lives and depreciation and amortization methods are reviewed periodically to ensure that the periods and method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

The asset's residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount (Note 21.11).

Fully depreciated assets are retained in the accounts until they are no longer in use. No further charge for depreciation is made in respect of those assets.

The carrying amount of an item of property and equipment is derecognized at disposal or when no future economic benefits are expected from its use or disposal. When assets are derecognized, their cost, accumulated depreciation and amortization and accumulated impairment losses, if any, are eliminated from the accounts and any resulting gain or loss is included in profit or loss of such period.

21.8 Investment property

Properties that are held for long-term rental yields or for capital appreciation or both, and that are not occupied by the Group, are classified as investment property. Investment properties comprise land and improvements, building and improvements, and parking improvements leased out under operating lease agreements.

Recognition of investment property takes place only when it is probable that the future economic benefits that are associated with the property will flow to the Group and the cost can be measured reliably. This is usually the day when all the risks and rewards are transferred to the Group.

Investment property is measured initially at cost, including transaction costs. Cost is the fair value of the consideration given to acquire the property which includes transaction costs such as legal fees and taxes on the purchase of the property. The cost of a self-constructed asset includes all directly attributable costs required to bring the property to its required working condition.

Subsequent to initial recognition, investment property, except land, is carried at cost less accumulated depreciation and any accumulated impairment losses. Land is carried at cost less any impairment losses. Subsequent expenditure should demonstrably enhance the original asset to qualify for asset recognition. Repairs and maintenance costs are charged to profit or loss during the year in which they are incurred.

Depreciation and amortization on investment property, except land, is recognized in profit or loss on a straight-line basis over 10 years.

Transfers to, or from, investment property are made when, and only when, there is a change in use.

A transfer is made to investment property when owner-occupation has ended and/or an operating lease to another party has commenced. A transfer is made from investment property to property and equipment when owner-occupation has commenced. A transfer is made from investment property to real estate inventory when development with a view to sale has begun. A transfer between investment property, property and equipment and real estate inventory does not change the carrying amount of the property transferred nor does it change the cost of that property for measurement or disclosure purposes. Transfers to investment property do not result in gain or loss.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount (Note 21.11).

Investment property is derecognized when it has either been disposed of or when the investment property is permanently withdrawn from use and no future benefit is expected from its disposal. Gains or loss on derecognition of investment property is calculated as the difference between any disposal proceeds and the carrying amount of the related asset and is recognized in profit or loss in the year of derecognition.

21.9 Mine rehabilitation fund/Decommissioning liability

Pursuant to the requirements of Republic Act (RA) No. 7942, otherwise known as “The Philippine Mining Act of 1995”, the Group maintains a mine rehabilitation fund (MRF). The MRF shall be used for the physical and social rehabilitation of areas affected by the Group’s quarrying activities, and for research in the social, technical and preventive aspects of the mine rehabilitation. Under the Group’s Operating Agreement with HAI (Note 16), HAI shall have the exclusive right to manage, operate and provide additional MRF as may be required by applicable laws and regulations provided that the MRF will remain in the name of the Group as the contracting party of MPSA. In addition, HAI shall have the responsibility to rehabilitate the mine site and provide the funds for the final mine rehabilitation and decommissioning plan. The funds received by the Group are restricted for the sole purpose of rehabilitating the mine site. These are presented as mine rehabilitation fund in other non-current assets and a related decommissioning liability is recognized.

21.10 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value of financial and non-financial liabilities takes into account non-performance risk, which is the risk that the entity will not fulfill an obligation.

The Group classifies its fair value measurements using a fair value hierarchy that reflects the significance of the inputs used in making the measurements.

The appropriate level is determined on the basis of the lowest level input that is significant to the fair value measurement.

(a) Financial assets and financial liabilities

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm’s length basis. The quoted market price within the bid-ask spread that is most representative of fair value is used. These instruments are included in Level

The fair value of financial instruments that are not traded in an active market (for example, over-the-counter derivatives) is determined by using valuation techniques. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in Level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in Level 3.

(b) Non-financial assets

The fair value of a non-financial asset is measured based on its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and applies the technique consistently. Commonly used valuation techniques are as follows:

- Market approach - A valuation technique that uses prices and other relevant information generated by market transactions involving identical or comparable (i.e., similar) assets, liabilities or a group of assets and liabilities, such as a business.
- Income approach - Valuation techniques that convert future amounts (e.g., cash flows or income and expenses) to a single current (i.e., discounted) amount. The fair value measurement is determined on the basis of the value indicated by current market expectations about those future amounts.

- Cost approach - A valuation technique that reflects the amount that would be required currently to replace the service capacity of an asset (often referred to as current replacement cost).

As at September 30, 2025 and December 31, 2024, there are no material assets and liabilities carried at fair value.

21.11 Impairment of non-financial assets

Property and equipment, investment property, land held for development and sale and other non-financial assets that have finite useful lives are reviewed for impairment annually or whenever events or changes in circumstances indicate that carrying amounts may not be recoverable. An impairment loss is recognized in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that are impaired are reviewed for possible reversal of impairment at each reporting date.

21.12 Trade and other payables

Trade and other payables (excluding payables to government agencies) are recognized, measured and derecognized using the accounting policies for financial liabilities at amortized cost as discussed in Note 21.5.

Payables to government agencies are recognized in the period when a legally enforceable claim against the Group is established.

Trade and other payables are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

21.13 Share capital; Share premium and Retained Earnings

Common shares, which are stated at par value, are classified as share capital.

Share premium represents premiums or consideration received in excess of par value on the issuance of share capital.

Incremental costs directly attributable to the issue of new shares or options are shown in capital funds as a deduction from the proceeds, net of tax.

Retained earnings pertain to accumulated results of operation, net of dividends declared, if any.

21.14 Dividend distribution

The Group pays cash dividend as its cash position permits and retains that portion of earnings needed in development projects and other business requirements.

Dividend distribution to the shareholders is recognized as a liability in the period in which the dividends are approved by the BOD.

21.15 Earnings per share (EPS)

Basic EPS is calculated by dividing net income for the year attributable to the common shareholders of the Group by the weighted average number of common shares outstanding during the year.

21.16 Revenue and expense recognition

(a) Royalty fees

The Group's sole performance obligation to HAI is to provide the right to conduct quarrying operations in exchange for a variable consideration in the form of royalty fees. Thus, revenue is earned and calculated as a fixed percentage of the monthly sales and volume report as stated in the Memorandum of Agreement with HAI (Note 16) and is recognized at a point in time. The Group has no constraints in estimating royalty fees.

No element of significant financing is deemed present as the consideration is variable.

There are no warranties and other similar obligation and refunds agreed with HAI.

(b) Interest income

Interest income is recognized on a time-proportion basis using the effective interest rate method.

(c) Costs and expenses

Cost and expenses are recognized in profit or loss as they are incurred.

(d) Other income and expenses

Other operating income/expenses are recognized in profit or loss when earned/incurred.

21.17 Provisions and contingencies

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligations; and the amount has been reliably estimated. Provisions are not recognized for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense.

Contingent liabilities are not recognized in the consolidated financial statements, but they are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements unless realization of income is virtually certain. It is disclosed in the notes to consolidated financial statements when an inflow of economic benefits is probable.

21.18 Income taxes

The tax expense for the year comprises current and deferred tax. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in OCI or directly in equity, in which case, the tax is also recognized in OCI or directly in equity, respectively.

(a) Current income tax

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to

situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(b) Deferred income tax

Deferred income tax (DIT) is recognized on all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, DIT is not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss. DIT is determined using tax rates (and laws) that have been enacted or substantively enacted by the reporting date and are expected to apply when the related deferred income tax asset is realized or the DIT liability is settled.

DIT assets are recognized for all deductible temporary differences to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. The Group reassesses at each reporting date the need to recognize a previously unrecognized DIT asset.

DIT liabilities are recognized in full for all taxable temporary differences, except to the extent that the deferred tax liability arises from the initial recognition of goodwill.

DIT assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

DIT assets and liabilities are derecognized when the related temporary differences are realized or settled.

21.19 Employee benefits

Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. Provision is made for benefits accruing to employees in respect of wages and salaries, annual leave when it is probable that settlement will be required, and these are capable of being measured reliably. Provisions made in respect of employee benefits expected to be settled within 12 months, are measured at their nominal values using the remuneration rate expected to apply at the time of settlement. Provisions made in respect of employee benefits which are not expected to be settled within 12 months are measured as the present value of the estimated future cash outflows to be made by the Group in respect of services provided by employees up to reporting date.

The Group recognizes a liability net of amount already paid and an expense for services rendered by employees during the accounting period. Short-term benefits given to its employees include salaries and wages, social security contributions, short-term compensated absences and bonuses, and non-monetary benefits.

Retirement benefits

The Group does not have an established retirement plan and only conforms to the minimum regulatory benefit under the Philippine Retirement Pay Law (Republic Act. No. 7641). The benefits are based on the years of service and latest monthly compensation of the employees. The regulatory benefit is paid on a lump sum upon retirement.

21.20 Functional and presentation currency

Items included in the consolidated financial statements are measured using the currency of the primary economic environment in which each entity in the Group operates (the functional currency). The consolidated financial statements are presented in Philippine Peso, which is the Parent Group's functional and presentation currency.

21.21 Leases (the Group as the lessor)

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on a straight-line basis over the period of the lease.

When the Group enters into an arrangement, comprising a transaction or a series of related transactions, that does not take the legal form of a lease but conveys the right to use an asset or is dependent on the use of specific asset or assets, the Group assesses whether the arrangement is, or contains, a lease. The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement. In such cases, when the Group has assessed that the arrangement is, or contains, a lease, the Group accounts for it as an operating lease.

21.22 Subsequent events (or Events after the reporting date)

Post year-end events that provide additional information about the Group's position at the reporting date (adjusting events) are reflected in the consolidated financial statements. Post year-end events that are not adjusting events are disclosed in the notes to the consolidated financial statements when material.

There are no events subsequent to the reporting period that requires disclosure in the notes to the financial statements.

21.23 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker who allocates resources to and assesses the performance of the operating segments of the Group. The Group has determined its President as its chief operating decision maker.

For the period ended September 30, 2025 and the year ended December 31, 2024, the Group has only one operating segment, which is the quarrying business. In view of the current status of the Group's operations, which is limited only to this and minimal rental income and interest on receivables, the performance of the Group is being assessed as a single unit. Consequently, detailed segment reporting under PFRS 8 is not necessary.

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- C. Amounts Receivable from Related Parties which are eliminated during Consolidation of Financial Statements
- D. Long-Term Debt
- E. Indebtedness to Related Parties
- F. Guarantee of Securities of Other Issuers
- G. Capital Stock

Other Supporting Schedule
Financial Soundness Indicators

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
Meralco Avenue, Pasig

Schedule A
Financial Assets
As at September 30, 2025

Name of issuing entity and association of each issue	Number of shares or principal amount of bonds and notes	Amount shown in the statement of financial position	Valued based on market quotation at end of reporting period	Income received and accrued
Cash and cash equivalents	-	175,069,046	-	4,216,950
Receivable				
Receivables	-	19,694,684	-	414,801
Other receivables, net	-	303,422	-	-
Other non-current assets				
Mine rehabilitation	-	29,521,542	-	18,490
Miscellaneous deposits	-	2,671,317	-	1,680
Financial assets at FVOCI	42,692	2,680,870	2,680,870	-
Total	42,692	229,940,881	2,680,870	4,651,921

Cash and cash equivalents exclude cash on hand as at September 30, 2025 amounting to ₱40,000.

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
Meralco Avenue, Pasig

Schedule B
Amounts Receivable from Directors, Officers, Employees, Related Parties
and Principal Stockholders (Other than Related Parties)
As at September 30, 2025

Not Applicable

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
Meralco Avenue, Pasig

Schedule C
Amounts Receivable from Related Parties, which are Eliminated During the
Consolidation of Financial Statements
As at September 30, 2025

Not Applicable

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
Meralco Avenue, Pasig

Schedule D
Long Term Debt
As at September 30, 2025

Title of issue and type of obligation	Amount authorized by indenture	Amount shown under caption "Current portion of long-term debt" in related balance sheet	Amount shown under caption "Long-Term Debt" in related balance sheet
Rental deposit	473,700	-	473,700
Retirement liability	850,365	-	850,365
Decommissioning liability	23,311,570	-	23,311,570
Total	24,635,635	-	24,635,635

The Group has no external borrowings from banks as at September 30, 2025. The amounts presented above pertain to non-current liabilities.

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
Meralco Avenue, Pasig

Schedule E
Indebtedness to Related Parties
As at September 30, 2025

Not Applicable

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
Meralco Avenue, Pasig

Schedule F
Guarantees of Securities of Other Issuers
As at September 30, 2025

Not Applicable

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
Meralco Avenue, Pasig
Schedule G
Capital Stock
As at September 30, 2025

The details of authorized and paid-up capital stock are as follows:

Title of issue	Number of shares authorized	Number of shares issued and outstanding as shown under related balance sheet caption	Number of shares reserved for options, warrants, conversion and other rights	Number of shares held by affiliates	Directors, officers and employees	Others
Common Class "A" at P10 par value each	40,000,000	22,077,771	-	16,021,968	8,127	6,047,676
Common Class "B" at P10 par value each	10,000,000	5,388,678	-	4,985,612	-	403,066
	50,000,000	27,466,449	-	21,007,580	8,127	6,450,742

Class "A" and Class "B" common shares have the same rights and privileges. Class "A" common shares shall be issued solely to Filipino citizens, while Class "B" common shares may be issued to Filipino and non-Filipino citizens.

As of September 30, 2025, there are 22,077,771 listed and outstanding Class A common shares, of which 6,047,676 are floating shares; whereas there are 5,388,678 listed and outstanding Class B common shares, of which 403,066 are floating shares. As of September 30, 2025, the latest closing price for Class A common shares was recorded at ₱53.95 while Class B common shares closed at ₱54.00.

Concrete Aggregates Corp and Subsidiaries
7th Floor, West Wing, Estancia Offices, Capitol Commons
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Schedule of Financial Soundness Indicators
As at September 30, 2025

Ratio	Formula	Unaudited as of 30 September 2025	Audited as of 31 December 2024
Current ratio	Total Current Assets / Total Current Liabilities	10.25:1	12.06:1
Acid test ratio	Quick assets (Total Current Assets less Inventories and Other Current Assets) / Total Current Liabilities	10.15:1	11.67:1
Solvency ratio	Net Income before Depreciation and Amortization / Total Liabilities	0.80:1	1.09:1
Liability-to-equity ratio*	Total Liability / Shareholders' Equity	0.14:1	0.13:1
Asset-to-equity ratio	Total Assets / Shareholders' Equity	1.14:1	1.13:1
Interest rate coverage ratio*	Earnings Before Interest expense, Income Tax, Depreciation and Amortization / Interest Expense	-	-
Return on equity	Annualized Net Income Available to Common Shareholders / Shareholders' Equity	14.67%	14.25%
Return on assets	Annualized Net Income Available to Common Shareholders / Total Assets	12.94%	12.49%
Net profit margin	Net Income Available to Common Shareholders / Revenues	69.35%	67.67%
Book value per share	Shareholders' Equity / Weighted Average Outstanding Number of Common Shares	11.42	11.78

*Liability to equity – The company has no interest- bearing liabilities from the banks or other lending institutions.

**December 31 ratios are based on actual balances.